

Broad Transactions 

825 Financial Instruments

825 Financial Instruments

10 Overall

00 Status

 **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

825-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Conduit Debt Securities	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
	Financial Asset (1st def.)	Superseded	Accounting Standards Update No. 2016-19	12/14/2016
	Financial Asset (2nd def.)	Added	Accounting Standards Update No. 2016-19	12/14/2016
	Financial Instrument Fully Beneficial-Responsive Investment Contract Nonpublic Entity (4th def.)	Amended	Accounting Standards Update No. 2024-02	03/29/2024
	Fully Beneficial-Responsive Investment Contract Nonpublic Entity (4th def.)	Added	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
	Publicly Traded	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
		Superseded	Accounting Standards Update No. 2016-01	01/05/2016

Company

(1st def.)

Public

Business

Entity

Public

Business

Entity

Public

Business

Entity

Registrat

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Payment

Arrangem

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25-4

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25-7

Amended

[Maintenance Update 2017-06](#) 

04/07/2017

Amended

[Maintenance Update 2016-11](#) 

06/27/2016

Added

[Accounting Standards Update No. 2016-01](#)

01/05/2016

Added

[Accounting Standards Update No. 2016-19](#)

12/14/2016

Added

[Accounting Standards Update No. 2016-19](#)

12/14/2016

Added

[Accounting Standards Update No. 2016-19](#)

12/14/2016

Amended

[Accounting Standards Update No. 2016-19](#)

12/14/2016

Amended

[Accounting Standards Update No. 2016-13](#)

06/16/2016

Amended

[Accounting Standards Update No. 2016-19](#)

12/14/2016

Amended

[Accounting Standards Update No. 2016-01](#)

01/05/2016

Amended

[Accounting Standards Update No. 2016-19](#)

12/14/2016

Amended

[Accounting Standards Update No. 2020-06](#)

08/05/2020

Amended

[Accounting Standards Update No. 2016-02](#)

02/25/2016

Amended

[Accounting Standards Update No. 2025-12](#)

12/17/2025

Amended

[Accounting Standards Update No. 2016-14](#)

08/18/2016

Amended

[Accounting Standards Update No. 2025-12](#)

12/17/2025

Amended

[Accounting Standards Update No. 2016-13](#)

06/16/2016

Amended

[Accounting Standards Update No. 2016-01](#)

01/05/2016

Amended

[Accounting Standards Update No. 2016-19](#)

12/14/2016

825-10-25-13	Added	Accounting Standards Update No. 2011-04	05/12/2011
825-10-35-1 through 35-3	Superseded	Accounting Standards Update No. 2016-13	06/16/2016
825-10-35-4	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
825-10-45-1	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
825-10-45-1A	Amended	Accounting Standards Update No. 2016-19	12/14/2016
825-10-45-1A	Added	Accounting Standards Update No. 2016-01	01/05/2016
825-10-45-1B	Added	Accounting Standards Update No. 2016-01	01/05/2016
825-10-45-4 through 45-7	Added	Accounting Standards Update No. 2016-01	01/05/2016
825-10-45-5	Amended	Accounting Standards Update No. 2018-03	02/28/2018
825-10-45-5A	Added	Accounting Standards Update No. 2018-03	02/28/2018
825-10-50-2A	Amended	Accounting Standards Update No. 2016-01	01/05/2016
825-10-50-3 through 50-7	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
825-10-50-3	Amended	Accounting Standards Update No. 2013-03	02/07/2013
825-10-50-3	Amended	Accounting Standards Update No. 2012-04	10/01/2012
825-10-50-3	Amended	Accounting Standards Update No. 2014-03	01/16/2014
825-10-50-3A	Added	Accounting Standards Update No. 2013-03	02/07/2013
825-10-50-8	Amended	Maintenance Update 2018-12 	09/10/2018
825-10-50-8	Amended	Accounting Standards Update No. 2016-04	03/08/2016
825-10-50-8	Amended	Accounting Standards Update No. 2016-02	02/25/2016

825-10-50-8	Amended	Accounting Standards Update No. 2016-01	01/05/2016
825-10-50-8	Amended	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
825-10-50-8	Amended	Accounting Standards Update No. 2014-03	01/16/2014
825-10-50-10	Amended	Accounting Standards Update No. 2025-11	12/08/2025
825-10-50-10	Amended	Accounting Standards Update No. 2016-01	01/05/2016
825-10-50-10	Amended	Accounting Standards Update No. 2011-04	05/12/2011
825-10-50-11	Amended	Accounting Standards Update No. 2025-11	12/08/2025
825-10-50-11A	Added	Accounting Standards Update No. 2020-06	08/05/2020
825-10-50-12	Amended	Accounting Standards Update No. 2025-11	12/08/2025
825-10-50-14	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
825-10-50-16 through 50-19	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
825-10-50-20	Amended	Accounting Standards Update No. 2025-11	12/08/2025
825-10-50-21	Amended	Accounting Standards Update No. 2025-11	12/08/2025
825-10-50-22	Amended	Accounting Standards Update No. 2016-19	12/14/2016
825-10-50-23A	Amended	Accounting Standards Update No. 2020-03	03/09/2020
825-10-50-28	Amended	Accounting Standards Update No. 2025-11	12/08/2025
825-10-50-30 through 50-32	Amended	Accounting Standards Update No. 2025-11	12/08/2025
825-10-50-30	Amended	Accounting Standards Update No. 2016-01	01/05/2016
825-10-50-31	Amended	Accounting Standards Update No. 2016-01	01/05/2016
825-10-55-3	Superseded	Accounting Standards Update No. 2016-01	01/05/2016

through 55-5			
825-10- 55-3	Amended	Accounting Standards Update No. 2009-05	08/26/2009
825-10- 55-8	Amended	Accounting Standards Update No. 2016-13	06/16/2016
825-10- 55-8	Amended	Accounting Standards Update No. 2016-01	01/05/2016
825-10- 55-10	Amended	Accounting Standards Update No. 2016-13	06/16/2016
825-10- 55-10	Amended	Accounting Standards Update No. 2016-01	01/05/2016
825-10- 55-10	Amended	Accounting Standards Update No. 2011-04	05/12/2011
825-10- 55-12	Amended	Accounting Standards Update No. 2016-01	01/05/2016
825-10- 65-2	Amended	Accounting Standards Update No. 2018-03	02/28/2018
825-10- 65-2	Added	Accounting Standards Update No. 2016-01	01/05/2016
825-10- 65-3	Added	Accounting Standards Update No. 2018-03	02/28/2018
825-10- 65-4	Added	Accounting Standards Update No. 2018-09	07/16/2018
825-10- 65-5	Amended	Accounting Standards Update No. 2020-03	03/09/2020
825-10- 65-5	Added	Accounting Standards Update No. 2019-04	04/25/2019
825-10- 65-6	Added	Accounting Standards Update No. 2020-01	01/16/2020
825-10- 65-7	Added	Accounting Standards Update No. 2020-03	03/09/2020

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

825-10-05-1 The Financial Instruments Topic provides guidance on matters related broadly to all [financial instruments](#). This Topic includes the following Subtopics:

- a. Overall
- b. [Registration Payment Arrangements](#).

825-10-05-2 The Overall Subtopic presents guidance in the following Subsections:

- a. General
- b. Fair Value Option.

The General Subsections provide guidance on the fair value option and certain disclosures about financial instruments.

825-10-05-3 The Codification contains various Topics, and in some cases individual Subtopics, that provide (but are not necessarily limited to) guidance on accounting for different financial instruments, including [financial assets](#), [financial liabilities](#), and equity. Those Topics and Subtopics include, among others, all of the following:

- a. Cash and Cash Equivalents
- b. Receivables
- c. Investments—Debt Securities
- cc. Investments—Equity Securities
- d. Investments—Equity Method and Joint Ventures
- e. Liabilities
- f. Commitments
- g. Contingencies
- h. Guarantees
- i. Debt
- j. Distinguishing Liabilities from Equity
- k. Equity
- l. Derivatives and Hedging
- m. Leases
- n. Transfers and Servicing
- o. Each of the Financial Services Industry Topics.

825-10-05-4 Various Topics in the Codification provide guidance that applies without regard to whether the instrument is, or transaction involves, a financial instrument.

Fair Value Option

825-10-05-5 The Fair Value Option Subsections of this Subtopic address both of the following:

- a. Circumstances in which entities may choose, at specified election dates, to measure eligible items at [fair value](#) (the fair value option)
- b. Presentation and disclosure requirements designed to facilitate comparisons between entities that choose different measurement attributes for similar types of assets and liabilities.

825-10-05-6 See Topic [820](#) for guidance on fair value measurements.

10 Objectives

General Note: The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

Fair Value Option

825-10-10-1 The objective of the guidance in the Fair Value Option Subsections of this Subtopic is to improve financial reporting by providing entities with the opportunity to mitigate volatility in reported earnings caused by measuring related assets and liabilities differently without having to apply complex hedge accounting provisions.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

[Related Proposed ASUs](#)

> Overall Guidance

825-10-15-1 The General Subsection of this Section establishes the pervasive scope for this Subtopic, with specific exceptions noted in the other Subsections of this Section.

> Entities

825-10-15-2 The guidance in this Subtopic applies to all entities.

Fair Value Option

[Related Proposed ASUs](#)

> Overall Guidance

825-10-15-3 The Fair Value Option Subsections follow the same Scope and Scope Exceptions as outlined in the General Subsection of this Subtopic, with specific qualifications and exceptions noted below.

> Instruments

- 825-10-15-4** All entities may elect the [fair value](#) option for any of the following eligible items:
- a. A recognized [financial asset](#) and [financial liability](#), except any listed in the following paragraph
 - b. A [firm commitment](#) that would otherwise not be recognized at inception and that involves only financial instruments (for example, a forward purchase contract for a loan that is not readily convertible to cash—that commitment involves only financial instruments—a loan and cash—and would not otherwise be recognized because it is not a derivative instrument)
 - c. A written loan commitment
 - d. The rights and obligations under an insurance contract that has both of the following characteristics:
 - 1. The insurance contract is not a [financial instrument](#) (because it requires or permits the insurer to provide goods or services rather than a cash settlement).
 - 2. The insurance contract's terms permit the insurer to settle by paying a third party to provide those goods or services.
 - e. The rights and obligations under a warranty that has both of the following characteristics:
 - 1. The warranty is not a financial instrument (because it requires or permits the warrantor to provide goods or services rather than a cash settlement).
 - 2. The warranty's terms permit the warrantor to settle by paying a third party to provide those goods or services.
 - f. A host financial instrument resulting from the separation of an embedded nonfinancial derivative from a nonfinancial hybrid instrument under paragraph [815-15-25-1](#), subject to the scope exceptions in the following paragraph (for example, an instrument in which the value of the bifurcated embedded derivative is payable in cash, services, or merchandise but the debt host is payable only in cash).
- 825-10-15-5** No entity may elect the fair value option for any of the following financial assets and financial liabilities:
- a. An investment in a subsidiary that the entity is required to consolidate.
 - b. An interest in a variable interest entity (VIE) that the entity is required to consolidate.
 - c. Employers' and plans' obligations (or assets representing net overfunded positions) for pension benefits, other postretirement benefits (including health care and life insurance benefits), postemployment benefits, employee stock option and stock purchase plans, and other forms of deferred compensation arrangements, as defined in Topics [420](#); [710](#); [712](#); [715](#); [718](#); and [960](#).
 - d. Financial assets and financial liabilities recognized under leases as defined in Subtopic [842-10](#). (This exception does not apply to a guarantee of a third-party lease obligation or a contingent obligation arising from a cancelled lease.)
 - e. Deposit liabilities, withdrawable on demand, of banks, savings and loan associations, credit unions, and other similar depository institutions.
 - f. Financial instruments that are, in whole or in part, classified by the issuer as a component of shareholders' equity (including temporary equity).

> Other Considerations

· > Interaction with Other Topics

825-10-15-6 The Fair Value Option Subsections:

- a. Do not affect any existing accounting literature that requires certain assets and liabilities to be carried at fair value
- b. Do not establish requirements for recognizing and measuring dividend income, interest income, or interest expense
- c. Do not eliminate disclosure requirements included in other Subtopics, including requirements for disclosures about fair value measurements included in Topic [820](#).

· > Application by Not-for-Profit Entities

825-10-15-7 Not-for-profit entities (NFPs) shall apply the provisions of the Fair Value Option Subsections with the following modifications:

- a. References to an income statement shall be replaced with references to a statement of activities, statement of changes in net assets, or statement of operations.
- b. References to earnings shall be replaced with references to changes in net assets, except as indicated in (c).
- c. Paragraph [954-825-45-1](#) explains that health care entities subject to Topic [954](#) shall report unrealized gains and losses on items for which the fair value option has been elected within the performance indicator or as a part of discontinued operations, as appropriate. Unlike other NFPs, health care entities subject to that Topic present performance indicators analogous to income from continuing operations. Consistent with the provisions of Subtopic [958-10](#), NFPs may present such gains and losses either within or outside of other intermediate measures of operations unless such gains or losses are part of discontinued operations. This includes intermediate measures of operations presented by NFPs other than health care entities and any additional intermediate measures of operations presented within the performance indicator by not-for-profit health care entities.
- d. The disclosure requirements in paragraph [825-10-50-30](#) shall apply not only with respect to the effect on performance indicators or other intermediate measures of operations, if presented, but also with respect to the effect on the change in each of the net asset classes (without donor restrictions or with donor restrictions), as applicable.

 PENDING CONTENT


Transition Date: P December 16, 2026; N December 16, 2026 | **Transition Guidance:** [105-10-65-10](#)

Not-for-profit entities (NFPs) shall apply the provisions of the Fair Value Option Subsections with the following modifications:

- a. References to an income statement shall be replaced with references to a statement of activities, statement of changes in net assets, or statement of operations.
- b. References to earnings shall be replaced with references to changes in net assets, except as indicated in (c).
- c. Paragraph [954-825-45-1](#) explains that health care entities subject to Topic [954](#) shall report unrealized gains and losses on items for which the fair value option has been elected within the performance indicator or as a part of discontinued operations, as appropriate. Unlike other NFPs, health care entities subject to that Topic present performance indicators analogous to income from continuing operations. Consistent with the provisions of paragraphs [958-220-45-9 through 45-12](#), NFPs may present such gains and losses either within or outside of other intermediate measures of operations unless such gains or losses are part of discontinued operations. This includes intermediate measures of operations presented by NFPs other than health care entities and any additional intermediate measures of operations presented within the performance indicator by not-for-profit health care entities.
- d. The disclosure requirements in paragraph [825-10-50-30](#) shall apply not only with respect to the effect on performance indicators or other intermediate measures of operations, if presented, but also with respect to the effect on the change in each of the net asset classes (without donor restrictions or with donor restrictions), as applicable.

20 Glossary

 **General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Financial Asset

Cash, evidence of an ownership interest in an entity, or a contract that conveys to one entity a right to do either of the following:

- a. Receive cash or another financial instrument from a second entity
- b. Exchange other financial instruments on potentially favorable terms with the second entity.

Financial Instrument

Cash, evidence of an ownership interest in an entity, or a contract that both:

- a. Imposes on one entity a contractual obligation either:
 - 1. To deliver cash or another financial instrument to a second entity
 - 2. To exchange other financial instruments on potentially unfavorable terms with the second entity.
- b. Conveys to that second entity a contractual right either:
 - 1. To receive cash or another financial instrument from the first entity
 - 2. To exchange other financial instruments on potentially favorable terms with the first entity.

The use of the term financial instrument in this definition is recursive (because the term financial instrument is included in it), though it is not circular. The definition requires a chain of contractual obligations that ends with the delivery of cash or an ownership interest in an entity. Any number of obligations to deliver financial instruments can be links in a chain that qualifies a particular contract as a financial instrument.

Contractual rights and contractual obligations encompass both those that are conditioned on the occurrence of a specified event and those that are not. All contractual rights (contractual obligations) that are financial instruments meet the definition of asset (liability) set forth in FASB Concepts Statement No. 6, Elements of Financial Statements, although some may not be recognized as assets (liabilities) in financial statements—that is, they may be off-balance-sheet—because they fail to meet some other criterion for recognition.

For some financial instruments, the right is held by or the obligation is due from (or the obligation is owed to or by) a group of entities rather than a single entity.

PENDING CONTENT



Transition Date: P December 16, 2024; N December 16, 2025 | **Transition Guidance:** [105-10-65-9](#)

Cash, evidence of an ownership interest in an entity, or a contract that both:

- a. Imposes on one entity a contractual obligation either:
 1. To deliver cash or another financial instrument to a second entity
 2. To exchange other financial instruments on potentially unfavorable terms with the second entity.
- b. Conveys to that second entity a contractual right either:
 1. To receive cash or another financial instrument from the first entity
 2. To exchange other financial instruments on potentially favorable terms with the first entity.

The use of the term financial instrument in this definition is recursive (because the term financial instrument is included in it), though it is not circular. The definition requires a chain of contractual obligations that ends with the delivery of cash or an ownership interest in an entity. Any number of obligations to deliver financial instruments can be links in a chain that qualifies a particular contract as a financial instrument.

Contractual rights and contractual obligations encompass both those that are conditioned on the occurrence of a specified event and those that are not. Some contractual rights (contractual obligations) that are financial instruments may not be recognized in financial statements—that is, they may be off-balance-sheet—because they fail to meet some other criterion for recognition. For some financial instruments, the right is held by or the obligation is due from (or the obligation is owed to or by) a group of entities rather than a single entity.

Financial Liability

A contract that imposes on one entity an obligation to do either of the following:

- a. Deliver cash or another financial instrument to a second entity
- b. Exchange other financial instruments on potentially unfavorable terms with the second entity.

Firm Commitment

An agreement with an unrelated party, binding on both parties and usually legally enforceable, with the following characteristics:

- a. The agreement specifies all significant terms, including the quantity to be exchanged, the fixed price, and the timing of the transaction. The fixed price may be expressed as a specified amount of an entity's functional currency or of a foreign currency. It may also be expressed as a specified interest rate or specified effective yield. The binding provisions of an agreement are regarded to include those legal rights and obligations codified in the laws to which such an agreement is subject. A price that varies with the market price of the item that is the subject of the firm commitment cannot qualify as a fixed price. For example, a price that is specified in terms of ounces of gold would not be a fixed price if the market price of the item to be purchased or sold under the firm commitment varied with the price of gold.
- b. The agreement includes a disincentive for nonperformance that is sufficiently large to make performance probable. In the legal jurisdiction that governs the agreement, the existence of statutory rights to pursue remedies for default equivalent to the damages suffered by the nondefaulting party, in and of itself, represents a sufficiently large disincentive for

nonperformance to make performance probable for purposes of applying the definition of a firm commitment.

Fully Benefit-Responsive Investment Contract

An investment contract is considered fully benefit-responsive if all of the following criteria are met for that contract, analyzed on an individual basis:

- a. The investment contract is effected directly between the plan and the issuer and prohibits the plan from assigning or selling the contract or its proceeds to another party without the consent of the issuer.
- b. Either of the following conditions exists:
 1. The repayment of principal and interest credited to participants in the plan is a financial obligation of the issuer of the investment contract.
 2. Prospective interest crediting rate adjustments are provided to participants in the plan on a designated pool of investments held by the plan or the contract issuer, whereby a financially responsible third party, through a contract generally referred to as a wrapper, must provide assurance that the adjustments to the interest crediting rate will not result in a future interest crediting rate that is less than zero.

If an event has occurred such that realization of full contract value for a particular investment contract is no longer probable (for example, a significant decline in creditworthiness of the contract issuer or wrapper provider), the investment contract shall no longer be considered fully benefit-responsive.

- c. The terms of the investment contract require all permitted participant-initiated transactions with the plan to occur at contract value with no conditions, limits, or restrictions. Permitted participant-initiated transactions are those transactions allowed by the plan, such as any of the following:
 1. Withdrawals for benefits
 2. Loans
 3. Transfers to other funds within the plan.
- d. An event that limits the ability of the plan to transact at contract value with the issuer and that also limits the ability of the plan to transact at contract value with the participants in the plan, such as any of the following, must be probable of not occurring:
 1. Premature termination of the contracts by the plan
 2. Plant closings
 3. Layoffs
 4. Plan termination
 5. Bankruptcy
 6. Mergers
 7. Early retirement incentives.
- e. The plan itself must allow participants reasonable access to their funds.

If access to funds is substantially restricted by plan provisions, investment contracts held by those plans may not be considered to be fully benefit-responsive. For example, if plan participants are allowed access at contract value to all or a portion of their account balances only upon termination of their participation in the plan, it would not be considered reasonable access and, therefore, investment contracts held by that plan would generally not be deemed to be fully benefit-responsive. However, in plans with a single investment fund that allow reasonable access to assets by inactive participants, restrictions on access to assets by active participants consistent with the objective of the plan (for example, retirement or health and welfare benefits) will not affect the benefit

responsiveness of the investment contracts held by those single-fund plans. Also, if a plan limits participants' access to their account balances to certain specified times during the plan year (for example, semiannually or quarterly) to control the administrative costs of the plan, that limitation generally would not affect the benefit responsiveness of the investment contracts held by that plan. In addition, administrative provisions that place short-term restrictions (for example, three or six months) on transfers to competing fixed-rate investment options to limit arbitrage among those investment options (equity wash provisions) would not affect a contract's benefit responsiveness.

Liability Issued with an Inseparable Third-Party Credit Enhancement

A liability that is issued with a credit enhancement obtained from a third party, such as debt that is issued with a financial guarantee from a third party that guarantees the issuer's payment obligation.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not **related parties**, although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Not-for-Profit Entity

An entity that possesses the following characteristics, in varying degrees, that distinguish it from a business entity:

- a. Contributions of significant amounts of resources from resource providers who do not expect commensurate or proportionate pecuniary return
- b. Operating purposes other than to provide goods or services at a profit
- c. Absence of ownership interests like those of business entities.

Entities that clearly fall outside this definition include the following:

- a. All investor-owned entities
- b. Entities that provide dividends, lower costs, or other economic benefits directly and proportionately to their owners, members, or participants, such as mutual insurance entities, credit unions, farm and rural electric cooperatives, and employee benefit plans.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Public Business Entity

A public business entity is a business entity meeting any one of the criteria below. Neither a **not-for-profit entity** nor an employee benefit plan is a business entity.

- a. It is required by the U.S. Securities and Exchange Commission (SEC) to file or furnish financial statements, or does file or furnish financial statements (including voluntary filers), with the SEC (including other entities whose financial statements or financial information are required to be or are included in a filing).
- b. It is required by the Securities Exchange Act of 1934 (the Act), as amended, or rules or regulations promulgated under the Act, to file or furnish financial statements with a regulatory agency other than the SEC.
- c. It is required to file or furnish financial statements with a foreign or domestic regulatory agency in preparation for the sale of or for purposes of issuing securities that are not subject to contractual restrictions on transfer.
- d. It has issued, or is a conduit bond obligor for, [securities](#) that are traded, listed, or quoted on an exchange or an over-the-counter market.
- e. It has one or more securities that are not subject to contractual restrictions on transfer, and it is required by law, contract, or regulation to prepare U.S. GAAP financial statements (including notes) and make them publicly available on a periodic basis (for example, interim or annual periods). An entity must meet both of these conditions to meet this criterion.

An entity may meet the definition of a public business entity solely because its financial statements or financial information is included in another entity's filing with the SEC. In that case, the entity is only a public business entity for purposes of financial statements that are filed or furnished with the SEC.

Registration Payment Arrangement

An arrangement with both of the following characteristics:

- a. It specifies that the issuer will endeavor to do either of the following:
 - 1. File a registration statement for the resale of specified financial instruments and/or for the resale of equity shares that are issuable upon exercise or conversion of specified financial instruments and for that registration statement to be declared effective by the U.S. Securities and Exchange Commission (SEC) (or other applicable securities regulator if the registration statement will be filed in a foreign jurisdiction) within a specified grace period
 - 2. Maintain the effectiveness of the registration statement for a specified period of time (or in perpetuity).
- b. It requires the issuer to transfer consideration to the counterparty if the registration statement for the resale of the financial instrument or instruments subject to the arrangement is not declared effective or if effectiveness of the registration statement is not maintained. That consideration may be payable in a lump sum or it may be payable periodically, and the form of the consideration may vary. For example, the consideration may be in the form of cash, equity instruments, or adjustments to the terms of the financial instrument or instruments that are subject to the registration payment arrangement (such as an increased interest rate on a debt instrument).

Reinsurance

A transaction in which a reinsurer (assuming entity), for a consideration (premium), assumes all or part of a risk undertaken originally by another insurer (ceding entity). For indemnity reinsurance, the legal rights of the insured are not affected by the reinsurance transaction and the insurance entity issuing the insurance contract remains liable to the insured for payment of policy benefits. Assumption or novation reinsurance contracts that are legal replacements of one insurer by another extinguish the ceding entity's liability to the policyholder.

Reinsurance Recoverable

All amounts recoverable from reinsurers for paid and unpaid claims and claim settlement expenses, including estimated amounts receivable for unsettled claims, claims incurred but not reported, or policy benefits.

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Security

A share, participation, or other interest in property or in an entity of the issuer or an obligation of the issuer that has all of the following characteristics:

- a. It is either represented by an instrument issued in bearer or registered form or, if not represented by an instrument, is registered in books maintained to record transfers by or on behalf of the issuer.
- b. It is of a type commonly dealt in on securities exchanges or markets or, when represented by an instrument, is commonly recognized in any area in which it is issued or dealt in as a medium for investment.
- c. It either is one of a class or series or by its terms is divisible into a class or series of shares, participations, interests, or obligations.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

Fair Value Option

> Overall Guidance

825-10-25-1 This Subtopic permits all entities to choose, at specified election dates, to measure eligible items at [fair value](#) (the fair value option).

825-10-25-2 The decision about whether to elect the fair value option:

- a. Shall be applied instrument by instrument, except as discussed in paragraph [825-10-25-7](#)
- b. Shall be irrevocable (unless a new election date occurs, as discussed in paragraph [825-10-25-4](#))
- c. Shall be applied only to an entire instrument and not to only specified risks, specific cash flows, or portions of that instrument.

An entity may decide whether to elect the fair value option for each eligible item on its election date. Alternatively, an entity may elect the fair value option according to a preexisting policy for specified types of eligible items.

825-10-25-3 Upfront costs and fees related to items for which the fair value option is elected shall be recognized in earnings as incurred and not deferred.

· > Election Dates

825-10-25-4 An entity may choose to elect the fair value option for an eligible item only on the date that one of the following occurs:

- a. The entity first recognizes the eligible item.
- b. The entity enters into an eligible [firm commitment](#).
- c. Financial assets that have been reported at fair value with unrealized gains and losses included in earnings because of specialized accounting principles cease to qualify for that specialized accounting (for example, a transfer of assets from a subsidiary subject to Subtopic [946-10](#) to another entity within the consolidated reporting entity not subject to that Subtopic).
- d. The accounting treatment for an investment in another entity changes because the investment becomes subject to the equity method of accounting.
 1. [Subparagraph superseded by Accounting Standards Update No. 2016-01.](#)
 2. [Subparagraph superseded by Accounting Standards Update No. 2016-01.](#)
- e. An event that requires an eligible item to be measured at fair value at the time of the event but does not require fair value measurement at each reporting date after that, excluding the recognition of impairment under lower-of-cost-or-market accounting or accounting for securities in accordance with either Topic [321](#) on investments—equity securities or Topic [326](#) on measurement of credit losses.

 PENDING CONTENT


Transition Date: P December 16, 2026; N December 16, 2026 | **Transition Guidance:** [105-10-65-10](#)

An entity may choose to elect the fair value option for an eligible item only on the date that one of the following occurs:

- a. The entity first recognizes the eligible item.
- b. The entity enters into an eligible [firm commitment](#).
- c. Financial assets that have been reported at fair value with unrealized gains and losses included in earnings because of specialized accounting principles cease to qualify for that specialized accounting (for example, a transfer of assets from a subsidiary subject to Subtopic [946-10](#) to another entity within the consolidated reporting entity not subject to that Subtopic).
- d. The accounting treatment for an investment in another entity changes because the investment becomes subject to the equity method of accounting.
 1. [Subparagraph superseded by Accounting Standards Update No. 2016-01.](#)
 2. [Subparagraph superseded by Accounting Standards Update No. 2016-01.](#)
- e. An event that requires an eligible item to be measured at fair value at the time of the event but does not require fair value measurement at each reporting date after that, excluding the recognition of impairment under lower-of-cost-or-market accounting, the recognition of other-than-temporary impairment for equity method investments in accordance with Topic [323](#) on investments—equity method and joint ventures, or accounting for securities in accordance with either Topic [321](#) on investments—equity securities or Topic [326](#) on measurement of credit losses.

825-10-25-5

Some of the events that require remeasurement of eligible items at fair value, initial recognition of eligible items, or both, and thereby create an election date for the fair value option as discussed in paragraph [825-10-25-4\(e\)](#) are:

- a. Business combinations, as defined in Subtopic [805-10](#)
- b. Consolidation or deconsolidation of a subsidiary or VIE
- c. Significant modifications of debt, as defined in Subtopic [470-50](#).

· > Consolidation

825-10-25-6

An acquirer, parent, or primary beneficiary decides whether to apply the fair value option to eligible items of an acquiree, subsidiary, or consolidated VIE, but that decision applies only in the consolidated financial statements. Fair value option choices made by an acquired entity, subsidiary, or VIE continue to apply in separate financial statements of those entities if they issue separate financial statements.

· > Unit of Accounting

825-10-25-7

The fair value option may be elected for a single eligible item without electing it for other identical items with the following four exceptions:

- a. If multiple advances are made to one borrower pursuant to a single contract (such as a line of credit or a construction loan) and the individual advances lose their identity and become part of a larger loan balance, the fair value option shall be applied only to the larger balance and not to each advance individually.

b. If the fair value option is applied to an investment that would otherwise be accounted for under the equity method of accounting, it shall be applied to all of the investor's financial interests in the same entity (equity and debt, including guarantees) that are eligible items.

c. If the fair value option is applied to an eligible insurance or [reinsurance](#) contract, it shall be applied to all claims and obligations under the contract.

d. If the fair value option is elected for an insurance contract (base contract) for which integrated or nonintegrated contract features or coverages (some of which are called riders) are issued either concurrently or subsequently, the fair value option also must be applied to those features or coverages. The fair value option cannot be elected for only the nonintegrated contract features or coverages, even though those features or coverages are accounted for separately under Subtopic [944-30](#). Paragraph [944-30-35-30](#) defines a nonintegrated contract feature in an insurance contract. For purposes of applying this Subtopic, neither an integrated contract feature or coverage nor a nonintegrated contract feature or coverage qualifies as a separate instrument.

825-10-25-8 [Paragraph not used.](#)

825-10-25-9 [Paragraph not used.](#)

825-10-25-10 The fair value option need not be applied to all instruments issued or acquired in a single transaction (except as required by paragraph [825-10-25-7\(a\) through \(b\)](#)). For example, investors in shares of stock and registered bonds might apply the fair value option to only some of the shares or bonds issued or acquired in a single transaction. For this purpose, an individual bond is considered to be the minimum denomination of that debt security.

825-10-25-11 A [financial instrument](#) that is legally a single contract may not be separated into parts for purposes of applying the fair value option. In contrast, a loan syndication arrangement may result in multiple loans to the same borrower by different lenders. Each of those loans is a separate instrument, and the fair value option may be elected for some of those loans but not others.

825-10-25-12 An investor in an equity security may elect the fair value option for its entire investment in that equity security, including any fractional shares issued by the investee (for example, fractional shares that are acquired in a dividend reinvestment program).

825-10-25-13 For the issuer of a [liability issued with an inseparable third-party credit enhancement](#) (for example, debt that is issued with a contractual third-party guarantee), the unit of accounting for the liability measured or disclosed at fair value does not include the third-party credit enhancement. This paragraph does not apply to the holder of the issuer's credit-enhanced liability or to any of the following financial instruments or transactions:

- a. A credit enhancement granted to the issuer of the liability (for example, deposit insurance provided by a government or government agency)
- b. A credit enhancement provided between reporting entities within a consolidated or combined group (for example, between a parent and its subsidiary or between entities under common control).

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to

carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

① **Note on Subsection Fair Value Option:** Following the effective date of Accounting Standards Update No. 2016-01, the Subsection below, Fair Value Option, has been superseded.

General

825-10-35-1 Paragraph superseded by Accounting Standards Update No. 2016-13.

825-10-35-2 Paragraph superseded by Accounting Standards Update No. 2016-13.

825-10-35-3 Paragraph superseded by Accounting Standards Update No. 2016-13.

Fair Value Option

825-10-35-4 Paragraph superseded by Accounting Standards Update No. 2016-01.

45 Other Presentation Matters

① **General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Statement of Financial Position

· > Disaggregation of Financial Assets and Financial Liabilities by Measurement Category and Form of Financial Asset

825-10-45-1A An entity shall separately present [financial assets](#) and [financial liabilities](#) by measurement category and form of financial asset (that is, securities or loans and receivables) in the statement of financial position or the accompanying notes to the financial statements.

Fair Value Option

> Statement of Financial Position

825-10-45-1 [Paragraph superseded by Accounting Standards Update No. 2016-01.](#)

825-10-45-1B Entities shall report assets and liabilities that are measured at [fair value](#) pursuant to the fair value option in this Subtopic in a manner that separates those reported fair values from the carrying amounts of similar assets and liabilities measured using another measurement attribute.

825-10-45-2 To accomplish that, an entity shall either:

- a. Present the aggregate of fair value and non-fair-value amounts in the same line item in the statement of financial position and parenthetically disclose the amount measured at fair value included in the aggregate amount
- b. Present two separate line items to display the fair value and non-fair-value carrying amounts.

> Statement of Cash Flows

825-10-45-3 Entities shall classify cash receipts and cash payments related to items measured at fair value according to their nature and purpose as required by Topic [230](#).

> Statement of Comprehensive Income

825-10-45-4 A business entity shall report unrealized gains and losses on items for which the [fair value](#) option has been elected in earnings (or another performance indicator if the business entity does not report earnings) at each subsequent reporting date.

· > Financial Liabilities for Which Fair Value Option Is Elected

825-10-45-5 If an entity has designated a financial liability under the fair value option in accordance with this Subtopic or Subtopic [815-15](#) on embedded derivatives, the entity shall measure the financial liability at fair value with qualifying changes in fair value recognized in net income. The entity shall present separately in other comprehensive income the portion of the total change in the fair value of the liability that results from a change in the instrument-specific credit risk. The entity may consider the portion of the total change in fair value that excludes the amount resulting from a change in a base market risk, such as a risk-free rate or a benchmark interest rate, to be the result of a change in instrument-specific credit risk. Alternatively, an entity may use another method that it considers to faithfully represent the portion of the total change in fair value resulting from a change in instrument-specific credit risk. The entity shall apply the method consistently to each financial liability from period to period.

825-10-45-5A When changes in instrument-specific credit risk are presented separately from other changes in fair value of a liability denominated in a currency other than an entity's functional currency, the component of the change in fair value of the liability resulting from changes in instrument-specific credit risk shall first be measured in the liability's currency of denomination, and then the cumulative amount shall be adjusted to reflect the current exchange rate in accordance with paragraph [830-20-35-2](#). The remeasurement of the component of the change in fair value of the liability resulting from the

cumulative changes in instrument-specific credit risk shall be presented in accumulated other comprehensive income.

825-10-45-6 Upon derecognition of a financial liability designated under the fair value option in accordance with this Subtopic, an entity shall include in net income the cumulative amount of the gain or loss on the financial liability that resulted from changes in instrument-specific credit risk.

825-10-45-7 The guidance in paragraph [825-10-45-5](#) does not apply to financial liabilities of a consolidated collateralized financing entity measured using the measurement alternative in paragraphs [810-10-30-10 through 30-15](#) and [810-10-35-6 through 35-8](#).

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

 [Related Proposed ASUs](#)

825-10-50-1 Paragraph [825-10-05-3](#) identifies various Topics within the Codification that address financial instruments matters. Those and other Topics in the Codification require disclosures about specific financial instruments. This Subsection addresses incremental disclosures about all of the following:

- [Fair value](#) of financial instruments
- Concentrations of credit risk of all financial instruments
- Market risk of all financial instruments.

> Applicability of This Subsection

825-10-50-2 This guidance discusses the applicability of the disclosure requirements in this Subsection to entities and transactions.

· > Entities

825-10-50-2A The disclosure guidance in this Subsection applies to [public business entities](#), except for the disclosure guidance in paragraphs [825-10-50-20 through 50-23](#), which applies to all entities. For interim reporting periods, the disclosure guidance in paragraphs [825-10-50-20 through 50-23](#) is optional for those entities that do not meet the definition of a public business entity.

825-10-50-3 [Paragraph superseded by Accounting Standards Update No. 2016-01.](#)

825-10-50-3A [Paragraph superseded by Accounting Standards Update No. 2016-01.](#)

825-10-50-4 Paragraph superseded by Accounting Standards Update No. 2016-01.

825-10-50-5 Paragraph superseded by Accounting Standards Update No. 2016-01.

825-10-50-6 Paragraph superseded by Accounting Standards Update No. 2016-01.

825-10-50-7 Paragraph superseded by Accounting Standards Update No. 2016-01.

· > Transactions

825-10-50-8 In part, this Subsection requires disclosures about fair value for all financial instruments, whether recognized or not recognized in the statement of financial position, except that the disclosures about fair value prescribed in paragraphs [825-10-50-10 through 50-13](#) and [825-10-50-15](#) are not required for any of the following:

- a. Employers' and plans' obligations for pension benefits, other postretirement benefits including health care and life insurance benefits, postemployment benefits, employee stock option and stock purchase plans, and other forms of deferred compensation arrangements (see Topics [710](#), [712](#), [715](#), [718](#), and [960](#))
- b. Substantively extinguished debt subject to the disclosure requirements of Subtopic [405-20](#)
- c. Insurance contracts, other than financial guarantees (including financial guarantee insurance contracts within the scope of Topic [944](#)) and investment contracts, as discussed in Subtopic [944-20](#)
- d. Lease contracts as defined in Topic [842](#) (a contingent obligation arising out of a cancelled lease and a guarantee of a third-party lease obligation are not lease contracts and are subject to the disclosure requirements in this Subsection)
- e. Warranty obligations (see Topic [450](#) and the Product Warranties Subsections of Topic [460](#))
- f. Unconditional purchase obligations as defined in paragraph [440-10-50-2](#)
- g. Investments accounted for under the equity method in accordance with the requirements of Topic [323](#)
- h. Noncontrolling interests and equity investments in consolidated subsidiaries (see Topic [810](#))
- i. Equity instruments issued by the entity and classified in stockholders' equity in the statement of financial position (see Topic [505](#))
- j. Receive-variable, pay-fixed interest rate swaps for which the simplified hedge accounting approach is applied (see Topic [815](#))
- k. [Fully benefit-responsive investment contracts](#) held by an employee benefit plan.
- l. Investments in equity securities accounted for under the measurement guidance for equity securities without readily determinable fair values (see Topic [321](#))
- m. Trade receivables and payables due in one year or less
- n. Deposit liabilities with no defined or contractual maturities.
- o. Liabilities resulting from the sale of prepaid stored-value products within the scope of paragraph [405-20-40-3](#).

825-10-50-9 Generally accepted accounting principles (GAAP) require disclosure of or subsequent measurement at fair value for many classes of financial instruments. Those requirements are not superseded or modified by this Subsection.

> Fair Value of Financial Instruments

825-10-50-10

A reporting entity shall disclose either in the body of the financial statements or in the accompanying notes, the fair value of financial instruments and the level of the fair value hierarchy within which the fair value measurements are categorized in their entirety (Level 1, 2, or 3).

- a. [Subparagraph superseded by Accounting Standards Update No. 2016-01.](#)
- b. [Subparagraph superseded by Accounting Standards Update No. 2016-01.](#)
- c. [Subparagraph superseded by Accounting Standards Update No. 2016-01.](#)
- d. [Subparagraph superseded by Accounting Standards Update No. 2016-01.](#)

For financial instruments recognized at fair value in the statement of financial position, the disclosure requirements of Topic [820](#) also apply.

 PENDING CONTENT


Transition Date: P December 16, 2027; N December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

For interim and annual reporting periods, a reporting entity shall disclose either in the body of the financial statements or in the accompanying notes, the fair value of financial instruments and the level of the fair value hierarchy within which the fair value measurements are categorized in their entirety (Level 1, 2, or 3).

- a. [Subparagraph superseded by Accounting Standards Update No. 2016-01.](#)
- b. [Subparagraph superseded by Accounting Standards Update No. 2016-01.](#)
- c. [Subparagraph superseded by Accounting Standards Update No. 2016-01.](#)
- d. [Subparagraph superseded by Accounting Standards Update No. 2016-01.](#)

For financial instruments recognized at fair value in the statement of financial position, the disclosure requirements of Topic [820](#) also apply.

825-10-50-11

Fair value disclosed in the notes shall be presented together with the related carrying amount in a form that clarifies both of the following:

- a. Whether the fair value and carrying amount represent assets or liabilities
- b. How the carrying amounts relate to what is reported in the statement of financial position.

 PENDING CONTENT


Transition Date: P December 16, 2027; N December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

For interim and annual reporting periods, fair value disclosed in the notes shall be presented together with the related carrying amount in a form that clarifies both of the following:

- a. Whether the fair value and carrying amount represent assets or liabilities
- b. How the carrying amounts relate to what is reported in the statement of financial position.

825-10-50-11A

See paragraph [470-20-50-1D](#) for additional guidance on disclosures about fair value of convertible debt instruments.

825-10-50-12

If the fair value of financial instruments is disclosed in more than a single note, one of the notes shall include a summary table. The summary table shall contain the fair value and related carrying amounts and cross-references to the location(s) of the remaining disclosures required by this Section.

 PENDING CONTENT


Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

If the fair value of financial instruments is disclosed in more than a single note, one of the notes shall include a summary table in interim and annual reporting periods. The summary table shall contain the fair value and related carrying amounts and cross-references to the location(s) of the remaining disclosures required by this Section.

825-10-50-13 This Subtopic does not prohibit an entity from disclosing separately the estimated fair value of any of its nonfinancial intangible and tangible assets and nonfinancial liabilities.

825-10-50-14 [Paragraph superseded by Accounting Standards Update No. 2016-01.](#)

825-10-50-15 In disclosing the fair value of a [financial instrument](#), an entity shall not net that fair value with the fair value of other financial instruments—even if those financial instruments are of the same class or are otherwise considered to be related (for example, by a risk management strategy)—except to the extent that the offsetting of carrying amounts in the statement of financial position is permitted under either of the following:

- a. The general principle in paragraph [210-20-45-1](#)
- b. The exceptions for master netting arrangements in paragraph [815-10-45-5](#) and for amounts related to certain repurchase and reverse repurchase agreements in paragraphs [210-20-45-11 through 45-17](#).

825-10-50-16 [Paragraph superseded by Accounting Standards Update No. 2016-01.](#)

825-10-50-17 [Paragraph superseded by Accounting Standards Update No. 2016-01.](#)

825-10-50-18 [Paragraph superseded by Accounting Standards Update No. 2016-01.](#)

825-10-50-19 [Paragraph superseded by Accounting Standards Update No. 2016-01.](#)

> Concentrations of Credit Risk of All Financial Instruments

825-10-50-20 Except as indicated in paragraph [825-10-50-22](#), an entity shall disclose all significant concentrations of credit risk arising from all financial instruments, whether from an individual counterparty or groups of counterparties. Throughout paragraphs [825-10-50-20 through 50-21](#), the term *financial instruments* includes derivative instruments accounted for under Topic [815](#). Group concentrations of credit risk exist if a number of counterparties are engaged in similar activities and have similar economic characteristics that would cause their ability to meet contractual obligations to be similarly affected by changes in economic or other conditions.

 PENDING CONTENT


Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

For interim and annual reporting periods, except as indicated in paragraph [825-10-50-22](#), an entity shall disclose all significant concentrations of credit risk arising from all financial instruments, whether from an individual counterparty or groups of counterparties. Throughout paragraphs [825-10-50-20 through 50-21](#), the term *financial instruments* includes derivative instruments accounted for under Topic [815](#). Group concentrations of credit risk exist if a number of counterparties are engaged in similar activities and have similar economic characteristics that would cause their ability to meet contractual obligations to be similarly affected by changes in economic or other conditions.

825-10-50-21

Except as indicated in paragraph [825-10-50-22](#), all of the following shall be disclosed about each significant concentration:

- a. Information about the (shared) activity, region, or economic characteristic that identifies the concentration
- b. The maximum amount of loss due to credit risk that, based on the gross fair value of the financial instrument, the entity would incur if parties to the financial instruments that make up the concentration failed completely to perform according to the terms of the contracts and the collateral or other security, if any, for the amount due proved to be of no value to the entity
- c. With respect to collateral, all of the following:
 1. The entity's policy of requiring collateral or other security to support financial instruments subject to credit risk
 2. Information about the entity's access to that collateral or other security
 3. The nature and a brief description of the collateral or other security supporting those financial instruments.
- d. With respect to master netting arrangements, all of the following:
 1. The entity's policy of entering into master netting arrangements to mitigate the credit risk of financial instruments
 2. Information about the arrangements for which the entity is a party
 3. A brief description of the terms of those arrangements, including the extent to which they would reduce the entity's maximum amount of loss due to credit risk.

 PENDING CONTENT


Transition Date: P December 16, 2027; N December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

For interim and annual reporting periods, except as indicated in paragraph [825-10-50-22](#), all of the following shall be disclosed about each significant concentration:

- a. Information about the (shared) activity, region, or economic characteristic that identifies the concentration
- b. The maximum amount of loss due to credit risk that, based on the gross fair value of the financial instrument, the entity would incur if parties to the financial instruments that make up the concentration failed completely to perform according to the terms of the contracts and the collateral or other security, if any, for the amount due proved to be of no value to the entity
- c. With respect to collateral, all of the following:
 1. The entity's policy of requiring collateral or other security to support financial instruments subject to credit risk
 2. Information about the entity's access to that collateral or other security
 3. The nature and a brief description of the collateral or other security supporting those financial instruments.
- d. With respect to master netting arrangements, all of the following:
 1. The entity's policy of entering into master netting arrangements to mitigate the credit risk of financial instruments
 2. Information about the arrangements for which the entity is a party
 3. A brief description of the terms of those arrangements, including the extent to which they would reduce the entity's maximum amount of loss due to credit risk.

825-10-50-22

The requirements of paragraph [825-10-50-21](#) do not apply to the following financial instruments, whether written or held:

- a. The financial instruments described in paragraph [825-10-50-8\(a\); \(c\); \(e\); and \(f\)](#), except for [reinsurance recoverables](#) and prepaid [reinsurance](#) premiums
- b. Financial instruments of a pension plan, including plan assets, if subject to the accounting and reporting requirements of Topic [715](#).

Financial instruments of a pension plan, other than the obligations for pension benefits, if subject to the accounting and reporting requirements of Topic [960](#), are subject to the requirements of paragraphs [825-10-50-20 through 50-21](#).

> Market Risk of All Financial Instruments

825-10-50-23

An entity is encouraged, but not required, to disclose quantitative information about the market risks of financial instruments that is consistent with the way it manages or adjusts those risks. Appropriate ways of reporting that quantitative information will differ for different entities and will likely evolve over time as management approaches and measurement techniques evolve. Possibilities include disclosing any of the following:

- a. More details about current positions and perhaps activity during the period

- b. The hypothetical effects on comprehensive income (or net assets), or annual income, of several possible changes in market prices
- c. A gap analysis of interest rate repricing or maturity dates
- d. The duration of the financial instruments
- e. The entity's value at risk from derivatives and from other positions at the end of the reporting period and the average value at risk during the year.

This list is not exhaustive, and an entity is encouraged to develop other ways of reporting quantitative information.

Fair Value Option

 [Related Proposed ASUs](#)

> Applicability of This Subsection

- 825-10-50-23A** This guidance discusses the applicability of the disclosure requirements in this Subsection to all entities that have elected the fair value option.
- 825-10-50-24** The principal objectives of the disclosures required by paragraphs [825-10-50-28 through 50-32](#) are to facilitate both of the following comparisons:
- a. Comparisons between entities that choose different measurement attributes for similar assets and liabilities
 - b. Comparisons between assets and liabilities in the financial statements of an entity that selects different measurement attributes for similar assets and liabilities.
- 825-10-50-25** Those disclosure requirements are expected to result in the following:
- a. Information to enable users of its financial statements to understand management's reasons for electing or partially electing the [fair value](#) option
 - b. Information to enable users to understand how changes in fair values affect earnings for the period
 - c. The same information about certain items (such as equity investments and nonperforming loans) that would have been disclosed if the fair value option had not been elected
 - d. Information to enable users to understand the differences between fair values and contractual cash flows for certain items.
- To meet those objectives, the disclosures described in paragraphs [825-10-50-28 through 50-32](#) are required for items measured at fair value under the option in this Subtopic and the option in paragraph [815-15-25-4](#). Those disclosures are not required for securities classified as trading securities under Topic [320](#), life settlement contracts measured at fair value pursuant to Subtopic [325-30](#), or servicing rights measured at fair value pursuant to Subtopic [860-50](#). Those Subtopics include disclosure requirements not affected by this Subtopic.
- 825-10-50-26** Entities shall provide the disclosures required by paragraphs [825-10-50-28 through 50-32](#) in both interim and annual financial statements.
- 825-10-50-27** The disclosure requirements in paragraphs [825-10-50-28 through 50-30](#) do not eliminate disclosure requirements included in other Subtopics, including other disclosure requirements relating to fair value measurement. Entities are encouraged but are not required to present the disclosures required by this Subtopic in combination with related fair value information required to be disclosed by other Subtopics (for example, the [General Subsection](#) of this Section and Topic [820](#)).

> Required Disclosures as of Each Date for Which an Interim or Annual Statement of Financial Position Is Presented

825-10-50-28

As of each date for which a statement of financial position is presented, entities shall disclose all of the following:

- a. Management's reasons for electing a fair value option for each eligible item or group of similar eligible items
- b. If the fair value option is elected for some but not all eligible items within a group of similar eligible items, both of the following:
 1. A description of those similar items and the reasons for partial election
 2. Information to enable users to understand how the group of similar items relates to individual line items on the statement of financial position.
- c. For each line item in the statement of financial position that includes an item or items for which the fair value option has been elected, both of the following:
 1. Information to enable users to understand how each line item in the statement of financial position relates to major classes of assets and liabilities presented in accordance with the fair value disclosure requirements of Topic 820. (Paragraph 825-10-50-11 also requires an entity to relate carrying amounts that are disclosed in accordance with that paragraph to what is reported in the statement of financial position.)
 2. The aggregate carrying amount of items included in each line item in the statement of financial position that are not eligible for the fair value option, if any.
- d. The difference between the aggregate fair value and the aggregate unpaid principal balance of each of the following:
 1. Loans and long-term receivables (other than securities subject to Topic 320) that have contractual principal amounts and for which the fair value option has been elected
 2. Long-term debt instruments that have contractual principal amounts and for which the fair value option has been elected.
- e. For loans held as assets for which the fair value option has been elected, all of the following:
 1. The aggregate fair value of loans that are 90 days or more past due
 2. If the entity's policy is to recognize interest income separately from other changes in fair value, the aggregate fair value of loans in nonaccrual status
 3. The difference between the aggregate fair value and the aggregate unpaid principal balance for loans that are 90 days or more past due, in nonaccrual status, or both.
- f. For investments that would have been accounted for under the equity method if the entity had not chosen to apply the fair value option, the information required by paragraph 323-10-50-3 (excluding the disclosures in paragraph 323-10-50-3(a)(3); (b); and (d)).

 PENDING CONTENT

Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

As of each date for which an interim or annual statement of financial position is presented, entities shall disclose all of the following:

- a. Management's reasons for electing a fair value option for each eligible item or group of similar eligible items
- b. If the fair value option is elected for some but not all eligible items within a group of similar eligible items, both of the following:
 1. A description of those similar items and the reasons for partial election
 2. Information to enable users to understand how the group of similar items relates to individual line items on the statement of financial position.
- c. For each line item in the statement of financial position that includes an item or items for which the fair value option has been elected, both of the following:
 1. Information to enable users to understand how each line item in the statement of financial position relates to major classes of assets and liabilities presented in accordance with the fair value disclosure requirements of Topic [820](#). (Paragraph [825-10-50-11](#) also requires an entity to relate carrying amounts that are disclosed in accordance with that paragraph to what is reported in the statement of financial position.)
 2. The aggregate carrying amount of items included in each line item in the statement of financial position that are not eligible for the fair value option, if any.
- d. The difference between the aggregate fair value and the aggregate unpaid principal balance of each of the following:
 1. Loans and long-term receivables (other than securities subject to Topic [320](#)) that have contractual principal amounts and for which the fair value option has been elected
 2. Long-term debt instruments that have contractual principal amounts and for which the fair value option has been elected.
- e. For loans held as assets for which the fair value option has been elected, all of the following:
 1. The aggregate fair value of loans that are 90 days or more past due
 2. If the entity's policy is to recognize interest income separately from other changes in fair value, the aggregate fair value of loans in nonaccrual status
 3. The difference between the aggregate fair value and the aggregate unpaid principal balance for loans that are 90 days or more past due, in nonaccrual status, or both.
- f. For investments that would have been accounted for under the equity method if the entity had not chosen to apply the fair value option, the information required by paragraph [323-10-50-3](#) (excluding the disclosures in paragraph [323-10-50-3\(a\)\(3\); \(b\); and \(d\)](#)).

825-10-50-29

The disclosure in paragraph [825-10-50-28\(f\)](#) applies to investments in common stock, investments in in-substance common stock, and other investments (for example, partnerships and certain limited liability corporations) that both:

- a. Would otherwise be required to be accounted for under the equity method under other generally accepted accounting principles (GAAP)
- b. Would be required to satisfy the disclosure requirements of paragraph [323-10-50-3](#).

When applying paragraph [825-10-50-28\(f\)](#), an entity shall apply the guidance from paragraphs [323-10-50-2](#) and [323-10-50-3\(a\) and \(c\)](#).

> Required Disclosures for Each Period for Which an Interim or Annual Income Statement Is Presented

825-10-50-30 For each period for which an income statement is presented, entities shall disclose all of the following about items for which the fair value option has been elected:

- a. For each line item in the statement of financial position, the amounts of gains and losses from fair value changes included in earnings during the period and in which line in the income statement those gains and losses are reported. This Subtopic does not preclude an entity from meeting this requirement by disclosing amounts of gains and losses that include amounts of gains and losses for other items measured at fair value, such as items required to be measured at fair value.
- b. A description of how interest and dividends are measured and where they are reported in the income statement. This Subtopic does not address the methods used for recognizing and measuring the amount of dividend income, interest income, and interest expense for items for which the fair value option has been elected.
- c. For loans and other receivables held as assets, both of the following:
 1. The estimated amount of gains or losses included in earnings during the period attributable to changes in instrument-specific credit risk
 2. How the gains or losses attributable to changes in instrument-specific credit risk were determined.
- d. For liabilities, all of the following about the effects of the instrument-specific credit risk and changes in it:
 1. The amount of change, during the period and cumulatively, of the fair value of the liability that is attributable to changes in the instrument-specific credit risk
 2. [Subparagraph superseded by Accounting Standards Update No. 2016-01.](#)
 3. How the gains and losses attributable to changes in instrument-specific credit risk were determined.
 4. If a liability is settled during the period, the amount, if any, recognized in other comprehensive income that was recognized in net income at settlement.

PENDING CONTENT



Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

For each interim or annual period for which an income statement is presented, entities shall disclose all of the following about items for which the fair value option has been elected:

- a. For each line item in the statement of financial position, the amounts of gains and losses from fair value changes included in earnings during the period and in which line in the income statement those gains and losses are reported. This Subtopic does not preclude an entity from meeting this requirement by disclosing amounts of gains and losses that include amounts of gains and losses for other items measured at fair value, such as items required to be measured at fair value.
- b. A description of how interest and dividends are measured and where they are reported in the income statement. This Subtopic does not address the methods used for recognizing and measuring the amount of dividend income, interest income, and interest expense for items for which the fair value option has been elected.
- c. For loans and other receivables held as assets, both of the following:
 1. The estimated amount of gains or losses included in earnings during the period attributable to changes in instrument-specific credit risk
 2. How the gains or losses attributable to changes in instrument-specific credit risk were determined.
- d. For liabilities, all of the following about the effects of the instrument-specific credit risk and changes in it:
 1. The amount of change, during the period and cumulatively, of the fair value of the liability that is attributable to changes in the instrument-specific credit risk
 2. [Subparagraph superseded by Accounting Standards Update No. 2016-01.](#)
 3. How the gains and losses attributable to changes in instrument-specific credit risk were determined.
 4. If a liability is settled during the period, the amount, if any, recognized in other comprehensive income that was recognized in net income at settlement.

> Other Required Disclosures

- 825-10-50-31** In annual periods only, an entity shall disclose the methods and significant assumptions used to estimate the fair value of items for which the fair value option has been elected. For required disclosures about the method(s) and significant assumptions used to estimate the fair value of financial instruments, see paragraph [820-10-50-2\(bbb\)](#) except that an entity is not required to provide the quantitative disclosures about significant unobservable inputs used in fair value measurements categorized within Level 3 of the fair value hierarchy required by that paragraph.

PENDING CONTENT



Transition Date: P December 16, 2027; N December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

In interim and annual periods, an entity shall disclose the methods and significant assumptions used to estimate the fair value of items for which the fair value option has been elected. For required disclosures about the method(s) and significant assumptions used to estimate the fair value of financial instruments, see paragraph [820-10-50-2\(bbb\)](#) except that an entity is not required to provide the quantitative disclosures about significant unobservable inputs used in fair value measurements categorized within Level 3 of the fair value hierarchy required by that paragraph.

825-10-50-32

If an entity elects the fair value option at the time one of the events in paragraph [825-10-25-4\(d\) through \(e\)](#) occurs, the entity shall disclose both of the following in financial statements for the period of the election:

- a. Qualitative information about the nature of the event
- b. Quantitative information by line item in the statement of financial position indicating which line items in the income statement include the effect on earnings of initially electing the fair value option for an item.

PENDING CONTENT



Transition Date: P December 16, 2027; N December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

If an entity elects the fair value option at the time one of the events in paragraph [825-10-25-4\(d\) through \(e\)](#) occurs, the entity shall disclose both of the following in interim and annual financial statements for the period of the election:

- a. Qualitative information about the nature of the event
- b. Quantitative information by line item in the statement of financial position indicating which line items in the income statement include the effect on earnings of initially electing the fair value option for an item.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

 [Related Proposed ASUs](#)

> Implementation Guidance

· > Concentrations Involving Loan Product Terms

- 825-10-55-1** The terms of certain loan products may increase a reporting entity's exposure to credit risk and thereby may result in a concentration of credit risk as that term is used in this Subtopic, either as an individual product type or as a group of products with similar features. Possible shared characteristics on which significant concentrations may be determined include, but are not limited to, the following:
- Borrowers subject to significant payment increases
 - Loans with terms that permit negative amortization
 - Loans with high loan-to-value ratios.

- 825-10-55-2** Judgment is required to determine whether loan products have terms that give rise to a concentration of credit risk. Furthermore, an entity may disclose how underwriting procedures are designed to control the credit risk that may arise from future payment increases.

- 825-10-55-3** [Paragraph superseded by Accounting Standards Update No. 2016-01.](#)

- 825-10-55-4** [Paragraph superseded by Accounting Standards Update No. 2016-01.](#)

- 825-10-55-5** [Paragraph superseded by Accounting Standards Update No. 2016-01.](#)

Fair Value Option

 [Related Proposed ASUs](#)

> Illustrations

· > Example 1: Fair Value Measurements and Changes in Fair Values Included in Current-Period Earnings

- 825-10-55-6** The following Cases illustrate selected disclosure requirements for items reported at [fair value](#) under this Subtopic:

- The [Fair Value Option Subsection](#) of 825-10-50 disclosures with voluntary integration of the [General Subsection](#) of 825-10-50 disclosures (Case A)
- The [Fair Value Option Subsection](#) of 825-10-50 disclosures without voluntary integration of the [General Subsection](#) of 825-10-50 disclosures (Case B).

- 825-10-55-7** Cases A and B represent suggested forms for presenting disclosure information. While the suggested forms of presentation illustrate selected required disclosures, the suggested forms of presentation are not mandated by this Subtopic. Aggregation of related fair value disclosures is encouraged but not required.

- 825-10-55-8** The statement of financial position for Entity XYZ as of December 31, 20X1, is provided to assist in understanding the illustrative fair value disclosures in Cases A and B.

Company XYZ Statement of Financial Position (\$ in 000s)	
Description	At December 31, 20X1
Assets	
Cash and due from banks	\$ 38
Deposits with banks	22
Fed funds sold and securities purchased under resale agreements	134
Securities borrowed	75
Trading debt securities	115
Debt securities available-for-sale (net of allowance for credit losses of \$3)	75
Debt securities held-to-maturity	\$ 34
Allowance for credit losses on held-to-maturity debt securities	(2)
Debt securities held-to-maturity, net of allowance for credit losses	32
Loans and lease receivables (\$150 at fair value)	\$560
Allowance for credit losses on loan and lease receivables	(10)
Loans and lease receivables, net of allowance for credit losses	550
Derivatives	60
Equity investments	125
Premises and equipment	10
Other assets	20
Total assets	\$ 1,256
Liabilities	
Non-interest-bearing deposits	\$ 143
Interest-bearing deposits	412
Fed funds purchased and securities sold under repurchase agreements	130
Accounts payable	110
Short-term borrowings	128
Long-term debt (\$60 at fair value)	200
Total liabilities	1,123
Shareholders' equity	
Common stock (authorized 5,000,000 shares; issued 3,550,000 shares)	4
Additional paid-in capital	88
Retained earnings	42
Accumulated other comprehensive income (loss)	(1)
Total shareholders' equity	133
Total liabilities and shareholders' equity	\$ 1,256

· · > Case A: Disclosures with Voluntary Integration

825-10-55-9 The objective is to provide information about all of the following:

- Assets and liabilities measured at fair value on a recurring basis (as required by Subtopic [820-10-10](#))
- Changes in fair values of assets and liabilities for which the fair value option has been elected in a manner that relates to the statement of financial position (as required by this Subtopic)
- Fair value estimates and corresponding carrying amounts for major categories of assets and liabilities that include items measured at fair value on a recurring basis (in accordance with the [General Subsection](#) of 825-10-50).

825-10-55-10 The following table represents the fair value tabular disclosure required by paragraph [820-10-50-2\(b\)](#), supplemented to do both of the following:

- Provide information about where in the income statement changes in fair values of assets and liabilities reported at fair value are included in earnings
- Voluntarily integrate selected disclosures required annually by the [General Subsection](#) of 825-10-50.

Disclosures required by paragraphs [825-10-50-28\(c\)](#) and [825-10-50-30\(a\)](#) are illustrated in the narrative disclosure that follows the table.

(\$ in 000s)

Description	Total Carrying Amount in Statement of Financial Position 12/31/X1 (A)	Fair Value Estimate 12/31/X1 (B)	Assets or Liabilities Measured at Fair Value 12/31/X1 (C)	Fair Value Measurements at December 31, 20X1, Using			Changes in Fair Values for the 12-Month Period Ended December 31, 20X1, for Items Measured at Fair Value Pursuant to Election of the Fair Value Option					Total Changes in Fair Values Included in Other Comprehensive Income
				Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Trading Gains and Losses	Other Gains and Losses	Interest Income on Loans	Interest Expense on Long-Term Debt	Total Changes in Fair Values Included in Current-Period Earnings	
Trading debt securities	\$ 115	\$ 115	\$ 115	\$ 105	\$ 10		\$ 10 ^(*)				\$ 10	
Available-for-sale debt securities, net	75	75	75	75								
Loans, net	400	412	150	-	100	\$ 50		\$ (3)	\$ 10		7	
Derivatives	60	60	60	25	15	20	5 ^(*)				5	
Equity investments	125	125	125	50	25	50		(18)			(18)	
Long-term debt	(200)	(206)	(60)		(40)	(20)		13		\$ (4)	5	\$ 4

(*) Includes investments that would otherwise be accounted for under the equity method of accounting.

Loans are included in loans and lease receivables in the statement of financial position. As of December 31, 20X1, approximately \$160,000 of lease receivables are included in loans and lease receivables in the statement of financial position and are not eligible for the fair value option.

(a) This column discloses carrying amount information required annually by this Subtopic only for major categories of assets and liabilities that include items measured at fair value.

(b) This column discloses fair value estimates required annually by this Subtopic only for major categories of assets and liabilities that include items measured at fair value. This Subtopic requires an entity to disclose fair value estimates and related carrying amounts for all financial instruments within the scope of this Subtopic. Paragraph 825-10-50-12 requires that if an entity discloses the fair value of financial instruments in more than a single note, one of the notes include a summary table (not presented in this Example).

(c) This Subtopic does not require disclosure of the amounts in the Trading Gains and Losses column nor does it preclude disclosure of these amounts. These amounts are shown for completeness.

825-10-55-11 An entity might provide either of the following additional disclosures required by paragraph 825-10-50-28(a) through (b) after the following table:

- a. Management's reasons for electing a fair value option for each eligible item or group of similar eligible items
- b. If the fair value option is elected for some but not all eligible items within a group of similar eligible items, both of the following:
 1. A description of those similar items and the reasons for partial election
 2. Information to enable users to understand how the group of similar items relates to individual line items on the statement of financial position.

· · > Case B: Disclosures Without Voluntary Integration

825-10-55-12 The following table illustrates an alternative presentation that does not integrate disclosures required annually by this Subtopic or the additional gain and loss amounts voluntarily displayed in the table in Case A. The following table represents the fair value hierarchy table set forth in Topic 820, supplemented to provide information about where in the income statement changes in fair values of assets and liabilities for which the fair value option has been elected are included in earnings. Disclosures required by paragraphs 825-10-50-28(c) and 825-10-50-30(a) are illustrated in the narrative disclosure that follows the table.

(\$ in 000s)

Description	Fair Value Measurements at December 31, 20X1, Using				Changes in Fair Values for the 12-Month Period Ended December 31, 20X1, for Items Measured at Fair Value Pursuant to Election of the Fair Value Option				
	Fair Value Measurements 12/31/X1	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Other Gains and Losses	Interest Income on Loans	Interest Expense on Long-Term Debt	Total Changes in Fair Values Included in Current-Period Earnings	Total Changes in Fair Values Included in Other Comprehensive Income
Trading debt securities	\$ 115	\$ 105	\$ 10						
Available-for-sale debt securities	75	75							
Loans	150	-	100	\$ 50	\$ 3	\$ 10		\$ 7	
Derivatives	60	25	15	20					
Equity investments	125	50	25	50	(18)			(18)	
Long-term debt	(60)		(40)	(20)	13		\$ (4)	5	\$ 4

(*) Represents investments that would otherwise be accounted for under the equity method of accounting.

Loans are included in loans and lease receivables in the statement of financial position. As of December 31, 20X1, approximately \$160,000 of lease receivables are included in loans and lease receivables in the statement of financial position and are not eligible for the fair value option.

- 825-10-55-13** An entity might provide either of the following additional disclosures required by paragraph 825-10-50-28(a) through (b) after the table:
- a. Management's reasons for electing a fair value option for each eligible item or group of similar eligible items
 - b. If the fair value option is elected for some but not all eligible items within a group of similar eligible items, both of the following:
 - 1. A description of those similar items and the reasons for partial election
 - 2. Information to enable users to understand how the group of similar items relates to individual line items on the statement of financial position.

60 Relationships

i General Note:The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

> Financial Services—Depository and Lending

825-10-60-1 For guidance on estimating the fair value of deposit liabilities, see paragraph 942-470-50-1.

65 Transition and Open Effective Date Information

i General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

 [Related Proposed ASUs](#)

- 825-10-65-1** Paragraph superseded on 04/13/2010 after the end of the transition period stated in FSP FAS 107-1 and APB 28-1, *Interim Disclosures about Fair Value of Financial Instruments*.
- 825-10-65-2** Paragraph superseded on 08/19/2021 after the end of the transition period stated in Accounting Standards Update No. 2016-01, *Financial Instruments—Overall (Subtopic 825-10): Recognition and Measurement of Financial Assets and Financial Liabilities*.
- 825-10-65-3** Paragraph superseded on 8/12/2020 after the end of the transition period stated in Accounting Standards Update No. 2018-03, *Technical Corrections and Improvements to Financial Instruments—Overall (Subtopic 825-10): Recognition and Measurement of Financial Assets and Financial Liabilities*.
- 825-10-65-4** Paragraph superseded on 8/12/2020 after the end of the transition period stated in Accounting Standards Update No. 2018-09, *Codification Improvements*.
- 825-10-65-5** Paragraph superseded on 08/19/2021 after the end of the transition period stated in Accounting Standards Updates No. 2019-04, *Codification Improvements to Topic 326, Financial Instruments—Credit Losses, Topic 815, Derivatives and Hedging, and Topic 825, Financial Instruments*, and No. 2020-03, *Codification Improvements to Financial Instruments*.
- 825-10-65-6** Paragraph superseded on 07/10/2023 after the end of the transition period stated in Accounting Standards Update No. 2020-01, *Investments—Equity Securities (Topic 321), Investments—Equity Method and Joint Ventures (Topic 323), and Derivatives and Hedging (Topic 815): Clarifying the Interactions between Topic 321, Topic 323, and Topic 815*.
- 825-10-65-7** Paragraph superseded on 07/10/2023 after the end of the transition period stated in Accounting Standards Update No. 2020-03, *Codification Improvements to Financial Instruments*.

825 Financial Instruments

20 Registration Payment Arrangements

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

825-20-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Financial Instrument	Amended	Accounting Standards Update No. 2024-02	03/29/2024
	Registration Payment Arrangement	Added	Accounting Standards Update No. 2016-19	12/14/2016
	825-20-05-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	825-20-15-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	825-20-15-2	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	825-20-15-3	Superseded	Accounting Standards Update No. 2016-19	12/14/2016
	825-20-15-4	Amended	Accounting Standards Update No. 2020-06	08/05/2020
	825-20-30-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	825-20-35-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	825-20-50-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	825-20-55-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

825-20-05-1 An entity may issue financial instruments (for example, equity shares, warrants, or debt instruments) that are subject to a [registration payment arrangement](#). This Subtopic provides guidance related to such arrangements.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Entities

825-20-15-1 The guidance in this Subtopic applies to all entities that issue a [registration payment arrangement](#).

> Transactions

825-20-15-2 The guidance in this Subtopic applies to the following transactions and activities:

- a. A [registration payment arrangement](#) regardless of whether it is issued as a separate agreement or included as a provision of a [financial instrument](#) or other agreement. An arrangement that requires the issuer to obtain and/or maintain a listing on a stock exchange, instead of, or in addition to, obtaining and/or maintaining an effective registration statement, is within the scope of this Subtopic if the remaining characteristics of the definition of the term *registration payment arrangement* are met.

825-20-15-3 [Paragraph superseded by Accounting Standards Update No. 2016-19.](#)

825-20-15-4 The guidance in this Subtopic does not apply to any of the following:

a. Arrangements that require registration or listing of convertible debt instruments or convertible preferred stock if the form of consideration that would be transferred to the counterparty is an adjustment to the conversion ratio. See Subtopic [470-20](#) on debt with conversion and other options or Subtopic [505-10](#) on equity for related guidance.

b. Arrangements in which the amount of consideration transferred is determined by reference to either of the following:

1. An observable market other than the market for the issuer's stock
2. An observable index.

For example, if the consideration to be transferred if the issuer is unable to obtain an effective registration statement is determined by reference to the price of a commodity. See Subtopic [815-15](#) for related guidance.

c. Arrangements in which the financial instrument or instruments subject to the arrangement are settled when the consideration is transferred (for example, a warrant that is contingently puttable if an effective registration statement for the resale of the equity shares that are issuable upon exercise of the warrant is not declared effective by the SEC within a specified grace period).

825-20-15-5

The guidance in this Subtopic shall not be applied by analogy to the accounting for contracts that are not registration payment arrangements meeting the criteria in paragraphs [825-20-15-2 through 15-3](#). For example, a building contract that includes a provision requiring the contractor to obtain a certificate of occupancy by a certain date or pay a penalty every month until the certificate of occupancy is obtained is not addressed by this Subtopic.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Financial Instrument

Cash, evidence of an ownership interest in an entity, or a contract that both:

- a. Imposes on one entity a contractual obligation either:
 1. To deliver cash or another financial instrument to a second entity

2. To exchange other financial instruments on potentially unfavorable terms with the second entity.

b. Conveys to that second entity a contractual right either:

1. To receive cash or another financial instrument from the first entity

2. To exchange other financial instruments on potentially favorable terms with the first entity.

The use of the term financial instrument in this definition is recursive (because the term financial instrument is included in it), though it is not circular. The definition requires a chain of contractual obligations that ends with the delivery of cash or an ownership interest in an entity. Any number of obligations to deliver financial instruments can be links in a chain that qualifies a particular contract as a financial instrument.

Contractual rights and contractual obligations encompass both those that are conditioned on the occurrence of a specified event and those that are not. All contractual rights (contractual obligations) that are financial instruments meet the definition of asset (liability) set forth in FASB Concepts Statement No. 6, Elements of Financial Statements, although some may not be recognized as assets (liabilities) in financial statements—that is, they may be off-balance-sheet—because they fail to meet some other criterion for recognition.

For some financial instruments, the right is held by or the obligation is due from (or the obligation is owed to or by) a group of entities rather than a single entity.

PENDING CONTENT



Transition Date:  December 16, 2024;  December 16, 2025 | **Transition Guidance:** [105-10-65-9](#)

Cash, evidence of an ownership interest in an entity, or a contract that both:

a. Imposes on one entity a contractual obligation either:

1. To deliver cash or another financial instrument to a second entity

2. To exchange other financial instruments on potentially unfavorable terms with the second entity.

b. Conveys to that second entity a contractual right either:

1. To receive cash or another financial instrument from the first entity

2. To exchange other financial instruments on potentially favorable terms with the first entity.

The use of the term financial instrument in this definition is recursive (because the term financial instrument is included in it), though it is not circular. The definition requires a chain of contractual obligations that ends with the delivery of cash or an ownership interest in an entity. Any number of obligations to deliver financial instruments can be links in a chain that qualifies a particular contract as a financial instrument.

Contractual rights and contractual obligations encompass both those that are conditioned on the occurrence of a specified event and those that are not. Some contractual rights (contractual obligations) that are financial instruments may not be recognized in financial statements—that is, they may be off-balance-sheet—because they fail to meet some other criterion for recognition.

For some financial instruments, the right is held by or the obligation is due from (or the obligation is owed to or by) a group of entities rather than a single entity.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting

entity has evidence that the transaction was entered into at market terms

- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Registration Payment Arrangement

An arrangement with both of the following characteristics:

- a. It specifies that the issuer will endeavor to do either of the following:
 - 1. File a registration statement for the resale of specified financial instruments and/or for the resale of equity shares that are issuable upon exercise or conversion of specified financial instruments and for that registration statement to be declared effective by the U.S. Securities and Exchange Commission (SEC) (or other applicable securities regulator if the registration statement will be filed in a foreign jurisdiction) within a specified grace period
 - 2. Maintain the effectiveness of the registration statement for a specified period of time (or in perpetuity).
- b. It requires the issuer to transfer consideration to the counterparty if the registration statement for the resale of the financial instrument or instruments subject to the arrangement is not declared effective or if effectiveness of the registration statement is not maintained. That consideration may be payable in a lump sum or it may be payable periodically, and the form of the consideration may vary. For example, the consideration may be in the form of cash, equity instruments, or adjustments to the terms of the financial instrument or instruments that are subject to the registration payment arrangement (such as an increased interest rate on a debt instrument).

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can

significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

- 825-20-25-1** An entity shall recognize a registration payment arrangement as a separate unit of account from the [financial instrument\(s\)](#) subject to that arrangement.
- 825-20-25-2** The financial instrument(s) subject to the registration payment arrangement shall be recognized in accordance with other applicable generally accepted accounting principles (GAAP) (for example, Subtopics [815-10](#); [815-40](#); and [835-30](#)) without regard to the contingent obligation to transfer consideration pursuant to the registration payment arrangement.
- 825-20-25-3** The contingent obligation to make future payments or otherwise transfer consideration under a registration payment arrangement shall be recognized separately in accordance with Subtopic [450-20](#).

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

- 825-20-30-1** An entity shall measure a [registration payment arrangement](#) as a separate unit of account from the [financial instrument\(s\)](#) subject to that arrangement.
- 825-20-30-2** The financial instrument(s) subject to the registration payment arrangement shall be measured in accordance with other applicable generally accepted accounting principles (GAAP) (for example, Subtopics [815-10](#); [815-40](#); and [835-30](#)) without regard to the contingent obligation to transfer consideration pursuant to the registration payment arrangement.

- 825-20-30-3** The contingent obligation to make future payments or otherwise transfer consideration under a registration payment arrangement shall be measured separately in accordance with Subtopic [450-20](#).
- 825-20-30-4** If the transfer of consideration under a registration payment arrangement is probable and can be reasonably estimated at inception, the contingent liability under the registration payment arrangement shall be included in the allocation of proceeds from the related financing transaction using the measurement guidance in Subtopic [450-20](#). The remaining proceeds shall be allocated to the financial instrument(s) issued in conjunction with the registration payment arrangement based on the provisions of other applicable GAAP. A financial instrument issued concurrently with a registration payment arrangement might be initially measured at a discount to its principal amount under this allocation methodology. For example, if the financial instruments issued concurrently with the registration payment arrangement are a debt instrument and an equity-classified warrant, the remaining proceeds after recognizing and measuring a liability for the registration payment arrangement under that Subtopic would be allocated on a relative [fair value](#) basis between the debt and the warrant pursuant to paragraph [470-20-25-3](#).
- 825-20-30-5** If all of the following criteria are met, the issuer's share price at the reporting date shall be used to measure the contingent liability under Subtopic [450-20](#):
- An entity would be required to deliver shares under a registration payment arrangement.
 - The transfer of that consideration is probable.
 - The number of shares to be delivered can be reasonably estimated.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

- 825-20-35-1** If the transfer of consideration under a [registration payment arrangement](#) becomes probable and can be reasonably estimated after the inception of the arrangement or if the measurement of a previously recognized contingent liability increases or decreases in a subsequent period, the initial recognition of the contingent liability or the change in the measurement of the previously recognized contingent liability (in accordance with Subtopic [450-20](#)) shall be recognized in earnings.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

825-20-50-1 The issuer of a [registration payment arrangement](#) shall disclose all of the following information about each registration payment arrangement or each group of similar arrangements:

- a. The nature of the registration payment arrangement, including all of the following:
 1. The approximate term of the arrangement
 2. The [financial instrument\(s\)](#) subject to the arrangement
 3. The events or circumstances that would require the issuer to transfer consideration under the arrangement.
- b. Any settlement alternatives contained in the terms of the registration payment arrangement, including the party that controls the settlement alternatives
- c. The maximum potential amount of consideration, undiscounted, that the issuer could be required to transfer under the registration payment arrangement (including the maximum number of shares that may be required to be issued)
- d. If the terms of the arrangement provide for no limitation to the maximum potential consideration (including shares) to be transferred, that fact shall be disclosed
- e. The current carrying amount of the liability representing the issuer's obligations under the registration payment arrangement
- f. The income statement classification of any gains or losses resulting from changes in the carrying amount of the liability representing the issuer's obligations under the registration payment arrangement.

825-20-50-2 These disclosures are incremental to the disclosures that may be required under other applicable generally accepted accounting principles (GAAP) and are required even if the likelihood of the issuer having to make any payments under the arrangement is remote.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Equity Shares and Warrants Issued Subject to a Registration Payment Arrangement

825-20-55-1 The following Cases illustrate the application of this Subtopic to a [registration payment arrangement](#) within the scope of this Subtopic:

- a. Transfer of consideration is not probable at inception (Case A).
- b. Transfer of consideration is probable at inception (Case B).

825-20-55-2 Cases A and B share all of the following assumptions:

- a. Entity A issues 10 million shares of common stock and 2 million freestanding warrants to purchase additional shares of common stock for total proceeds of \$100 million in a private placement transaction.
- b. In connection with the offering, Entity A enters into a registration payment arrangement that requires Entity A to use its best efforts to do both of the following:
 1. File a registration statement with the Securities and Exchange Commission (SEC) for the resale of 12 million shares of common stock. That registration statement must be declared effective within 180 days of the offering's closing date
 2. Once the registration statement is effective, maintain its effectiveness for three years.
- c. If the registration statement is not declared effective within 180 days, or if it ceases to be effective during the 3-year period in which Entity A is required to maintain its effectiveness, the investors are entitled to liquidated damages in the form of monthly cash payments computed as 1.5 percent per month of the \$100 million total offering proceeds.

· · > Case A: Transfer of Consideration Is Not Probable at Inception

825-20-55-3 At closing, Entity A concludes that it is not probable that it will be required to remit any payments to the investors for failing to obtain an effective registration statement or failing to maintain its effectiveness.

825-20-55-4 Entity A files a registration statement for the resale of the shares that is declared effective within the 180-day grace period. One year after the effective date of the registration statement, circumstances have changed such that Entity A concludes that it is probable that the effectiveness of the registration statement will not be maintained for some portion of the remaining two-year period. Although Entity A is unable to estimate the exact amount of time that the registration statement will cease to be effective, its reasonable estimate at the reporting date is a period of time ranging between 9 and 18 months. Accordingly, the range of loss is between \$13.5 million ($\$100 \text{ million} \times 1.5 \text{ percent} \times 9 \text{ months}$) and \$27 million ($\$100 \text{ million} \times 1.5 \text{ percent} \times 18 \text{ months}$). At the reporting date, no amount within that range appears to be a better estimate than any other amount.

825-20-55-5 The common stock and warrants subject to the registration payment arrangement must be recognized and measured in accordance with other applicable generally accepted accounting principles (GAAP) without regard to the contingent obligation to make payments pursuant to the registration payment arrangement. Therefore, that contingent obligation does not affect Entity A's analysis of whether the warrants are classified as liabilities or equity instruments under Subtopic [815-40](#), regardless of whether the transfer of consideration under the registration payment arrangement is probable. In the

period in which it became probable that Entity A will be required to remit payments to the investors for failing to maintain an effective registration statement and a range of payments can be reasonably estimated, a contingent liability should be accrued by a charge to earnings. Because no amount within the range of payments is a better estimate than any other amount, the \$13.5 million minimum amount in the range should be accrued.

· · > Case B: Transfer of Consideration Is Probable at Inception

825-20-55-6 In this Case, at closing, Entity A concludes that it is probable that it will be required to remit payments to the investors for failing to obtain an effective registration statement within the 180-day grace period.

825-20-55-7 Based on the relevant facts and circumstances, Entity A can reasonably estimate both of the following:

- The registration statement will become effective six months after the grace period expires.
- Once effective, registration will be maintained for the three-year required period of effectiveness.

825-20-55-8 The common stock and warrants subject to the registration payment arrangement must be recognized and measured in accordance with other applicable GAAP without regard to the contingent obligation to make payments pursuant to the registration payment arrangement. Therefore, that contingent obligation does not affect Entity A's analysis of whether the warrants are classified as liabilities or equity instruments under Subtopic [815-40](#), regardless of whether the transfer of consideration under the registration payment arrangement is probable. Because a transfer of consideration under the registration payment arrangement is probable and can be reasonably estimated at inception, the \$9 million ($\$100 \text{ million} \times 1.5 \text{ percent} \times 6 \text{ months}$) contingent liability under the registration payment arrangement must be included in the allocation of proceeds from the offering. The \$91 million of remaining proceeds should be allocated between the common stock and warrants based on the guidance in other applicable GAAP.

· > Example 2: Debt Issued Subject to a Registration Payment Arrangement

825-20-55-9 This Example illustrates the application of this Subtopic to debt issued subject to a registration payment arrangement within the scope of this Subtopic.

825-20-55-10 Entity A issues notes with an aggregate principal amount of \$100 million in a private placement transaction. The notes were issued at par, bear interest at 8 percent per annum, and are not convertible into equity shares of the issuer.

825-20-55-11 In connection with the offering, Entity A enters into a registration payment arrangement that requires Entity A to use its best efforts to do both of the following:

- File a registration statement with the SEC for the resale of the notes. That registration statement must be declared effective within 180 days of the offering's closing date
- Once the registration statement is effective, maintain its effectiveness for two years.

825-20-55-12 If the registration statement is not declared effective within 180 days, or if it ceases to be effective during the 2-year period in which Entity A is required to maintain its effectiveness, the investors are entitled to liquidated damages in the form of an increase to the interest coupon of 50 basis points per month. At closing, Entity A concludes that it is not probable that it will be required to remit any payments to the investors for failing to obtain an effective registration statement or failing to maintain its effectiveness.

825-20-55-13 Entity A files a registration statement for the resale of the notes that is declared effective within the 180-day grace period. One year after the effective date of the registration statement, circumstances have changed such that Entity A concludes that it is probable that the effectiveness of the registration

statement will not be maintained for some portion of the remaining one-year period. Although Entity A is unable to estimate the exact amount of time that the registration statement will cease to be effective, its reasonable estimate at the reporting date is a period of time ranging between three and six months. Accordingly, the range of loss is between \$1.5 million ($\$100 \text{ million} \times 0.5 \text{ percent} \times 3 \text{ months}$) and \$3 million ($\$100 \text{ million} \times 0.5 \text{ percent} \times 6 \text{ months}$). At the reporting date, no amount within that range appears to be a better estimate than any other amount.

825-20-55-14

In the period in which it became probable that Entity A will be required to remit payments to the investors for failing to maintain an effective registration statement and a range of payments can be reasonably estimated, a contingent liability should be accrued by a charge to earnings. Because no amount within the range of payments is a better estimate than any other amount, the \$1.5 million minimum amount in the range should be accrued.